Unit 4: Organizing

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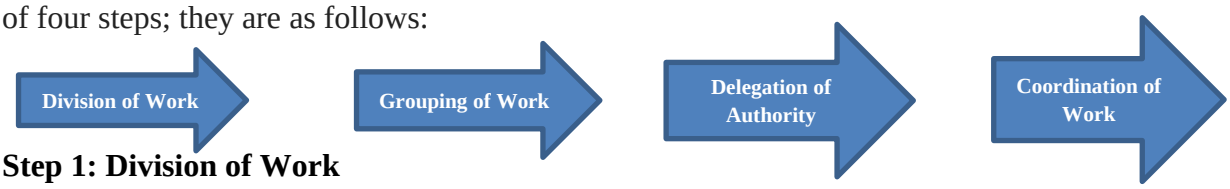
Concept of organizing, process and principles of organizing.

✓ ### *Concept of organizing:*

Organizing is the second key management function, after planning. It is a function in which the combination of human, physical and financial resources take place. Normally organizing is known as structure, process, a group of people and function of management. Organizing essentially consists of establishing a division of labor. It involves in defining jobs and working relationships, assigning different tasks associated with the plans, arranging and allocating resources, design a structure which distinguishes duties, responsibilities and authorities, scheduling activities, in order to maintain smoothness and effectiveness in operations.

✓ ### *Process of organizing:*

Organizing is one of the important functions of management. The process of organizing consists of four steps; they are as follows:



Step 1: Division of Work

The first step in the organizing process is the division of work. It is the breaking down of complex work into small and manageable units. Division of work is done to make individuals responsible for a limited set of activities and not for the whole job of the organization. This enables the workers to know what is expected from them as a member of the group and helps to avoid duplication of efforts.

Step 2: Grouping of Work

To achieve the determined organizational objectives the similar nature of activities should be put at one group or subgroups. This step of organizing involves creating departments and sections for specific work. To enhance the division of work a separate department is created for specific work and responsibility. Some widely used departmentalization functions of business like: purchase, production, finance, marketing, personnel, research, and development department, etc.

Step 3: Delegation of Authority

Delegation of authority is one of the important parts of the organizing process. No individual can complete his assigned responsibility unless he is given sufficient authority. For the efficient

completion of work, there must be a balance between authority and responsibility. This brings confidence among the individuals to perform their assigned works and develop the feeling of self-responsibility among them. Therefore, for efficient work completion, a manager has to delegate authority to the subordinates in accordance with their responsibilities.

Step 4: Coordination of Work

This is the last step in process of organizing. A manager must balance coordination among all the members of the organization. Managers have to communicate with their subordinates and with co-workers of other departments. In a similar way, subordinates also need to maintain communication with their colleagues and superiors. It is necessary to establish effective, suitable, and speedy communication within the organization.

✓ ***Principles of organizing:***

Organizing is one of the major functions of management. The success or failure of the organization depends upon sound and efficient organizational structure. Hence, there is a need to follow certain principles of organizing to formulate and develop sound and efficient organization. These principles are as follows.

1. **Unity of Objectives:**
   The goals and objectives must be clearly defined for the entire organization, for each department and even for each position in the organization structure. If there is contradiction among the various levels of objectives, then entire goals of the organization cannot be achieved. There must be unity of objectives so that all efforts can be concerned on the set goals.
2. **Specialization or division of Labor/ work:**
   The concept of division of work is based on the principle of specialization and efficiency. Specialization helps to break down overall task of organization and divide it into the smaller component parts. Greater output can be obtained from qualified or specialized persons.
3. **Span of control:**
   Span of control represents a numerical limit of subordinates to be supervised or controlled by a manager. It is believed that organizational efficiency is increased by limiting the span of control at any point in the hierarchy to a small number.
4. **Scalar Chain:**
   The chain of supervisors ranging from the top management to the lowest rank managers should be clearly defined. The chain of command should be short and clear which makes decision making and communication more effective.
5. **Unity of Command:**
   In organizing activities, it is better when an employee receives orders from only one supervisor. Direction from several superiors may result in confusion, conflict and indiscipline.
6. **Delegation of authority:**
   Proper authority should be delegated at all level of management. The authority delegated should be equal to responsibility so as to enable each manager to accomplish the task assign to him/her.
7. **Responsibility:**
   Once authority is given, managers have to be responsible for their actions. They are also responsible for the action of their subordinates.
8. **Simplicity:**
   The organization should be kept as simple as possible. A complex organization means difficulty of communication and coordination.

9. **Flexibility:**
   Since, external environment always changes, it is necessary to cope up with the changing environment. Organizational structure should be flexible enough to cope up with the changes in the external environment.
10. **Balance:**
   There should be a reasonable balance in the size of various departments and between centralization and decentralization. Imbalances creates problem to achieve its goals for an organization in an effective and efficient way.

✓ ***Organization Architecture:***

✓ ***Vertical differentiation - tall versus flat hierarchies***

Vertical differentiation, which refers to the location of decision-making responsibilities within a structure (that is, centralization or decentralization) and also to the number of layers in a hierarchy (that is, whether the organizational structure is tall or flat).

Tall vs Flat *hierarchies*

Tall structure is an organizational structure with many levels of hierarchy.	**Structure**	Flat structure is an organizational structure with a limited number of levels of hierarchy.
A narrow span of control is seen in a tall structure.	**Span of Control**	In a flat structure, the span of control is wide.
More time is taken to make decisions in a tall structure since there are many levels of personnel to consider.	**Decision making**	Speed of decision making high in flat structures due to the wide span of control.
Cost of managing a tall structure is costly since there are more layers of staff	**Costs**	Costs related to a flat structure is relatively low compared to a tall structure.
Opportunity for promotion is high in a tall structure.	**Opportunity**	Limited opportunities are available for promotion in a flat structure.

Tall Hierarchy or Vertical Hierarchical Structure or Tall Organizational Structure or Traditional Organizational Structure:

Tall organisational structure consists of many management levels and supervision. It is a pyramid-like top-down management structure. Decision making often works from top to bottom, but work approval will work from bottom to top. The chain of command is long. Employees are only related

to the department managers. All managers and employees are supervised by their senior managers. Because of many numbers of levels in this structure, it causes problems with communication and therefore takes long time for decision making. The top of all the management level is usually called chief executive officer.

Advantages:

- more opportunities for promotion which can lead to greater staff motivation.
- staff gain more support from their line manager.
- there is a higher degree of supervision.

Disadvantages:

- many levels of hierarchy.
- span of control is narrow, and the chain of command is long.
- longer lines of communication can make the firm less responsive to change.
- can be expensive to run due to high wage costs.

Flat Hierarchy or Flat Organizational Structure or Horizontal Hierarchical Structure:

Flat structure is an organizational structure with a limited number of levels of hierarchy or very few levels between managers and staff. In this structure the most trained employees get involved with decision making process. Employees are not supervised by many levels of management. It is designed to minimize bureaucracy. This structure generally occurs in a small organization or in a small part within a large organization. Communication between employees and managers are held on regular that allows rapid change and problem resolution.

Advantages

- few levels of hierarchy.
- lines of communication are short.
- staff working in a flat management structure can be empowered to work independently and take on more responsibility.

Disadvantages

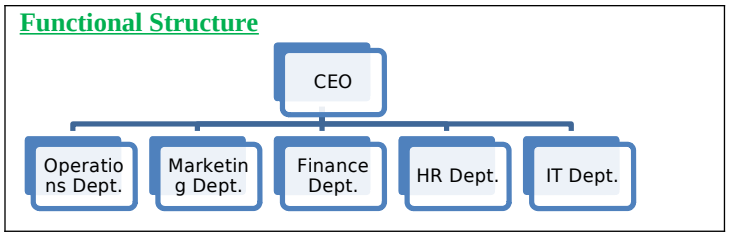
- wide span of control.
- less promotion opportunities within a flat structure, which may lead to the company losing staff to other organisations.

Horizontal differentiation - functional structure, multidivisional structure, geographic structure, and matrix structure

Horizontal differentiation, which refers to the formal division of the organization into sub-units. According to Horizontal differentiation, organizations can be divided into functional, multidivisional, geographic and matrix structure.

Functional Structure:

The functional structure is the most common model found in most organizations. In a functional organization structure, the entire organization is divided into smaller groups or departments based on specialized functional areas, such as operations, marketing, finance, Human Resources, IT, etc.



The organization's top management team consists of several functional heads (such as the Operations, Marketing). Communication generally occurs within each functional department and is communicated across departments through the department heads.

The advantages of the functional organization are as follows:

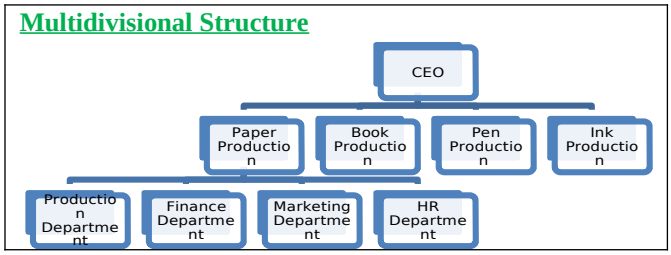
- The responsibility of every worker and all the departments are fixed those results in exact accountability of their work.
- Employees do not have to report to multiple heads.
- Every department and every individual in that department has a specific job. Hence the chance of duplication is zero.

The disadvantages of the functional organization are as follows:

- The repetitive kind of work can become monotonous and lead to low energy levels.
- There is a lack of teamwork between different departments, and this decreases the level of flexibility between them.
- As the functional manager has full authority over his department, he can easily make decisions in an autocratic manner.

Multidivisional structure

In Multidivisional Organizational Structure**,** each business unit is placed in a self-contained division. Each part essentially operates separately from the other parts of the company. The office of corporate is created to control and oversee the divisions. Divisional managers have operating responsibility; corporate managers have strategic responsibility. Each division is treated as a profit center.



Advantages of multidivisional structure

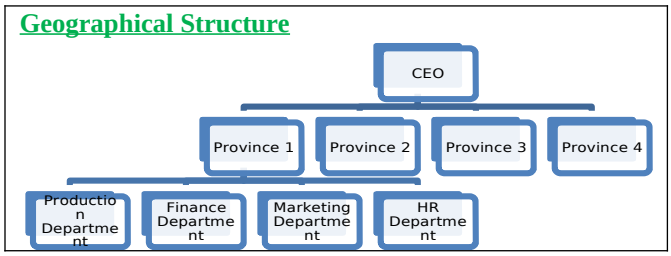
1. This structure is suitable for the business having multiple businesses.
2. Enhanced strategic control is another benefit, because corporate staffs are freed from operating responsibilities, and can concentrate on corporate strategy.
3. It facilitates comparison between divisions which improves the resource allocation process.

Disadvantages of multidivisional structure

1. Unnecessary conflict and misunderstand may emerge as a result of poor communication among the divisions.
2. Managing the balance of power between corporate and divisional managers is difficult.
3. Too much decentralizing, however, may cause the company to lose control over its strategy, damaging corporate performance.

Geographic structure

When an organization organizes its activities on the basis of geographical locations, it is called geographic structure. It is suitable for the organizations such as retail and hospitality, transportation and other businesses that need to be near the sources of supply and customers.



Advantages of geographical structure

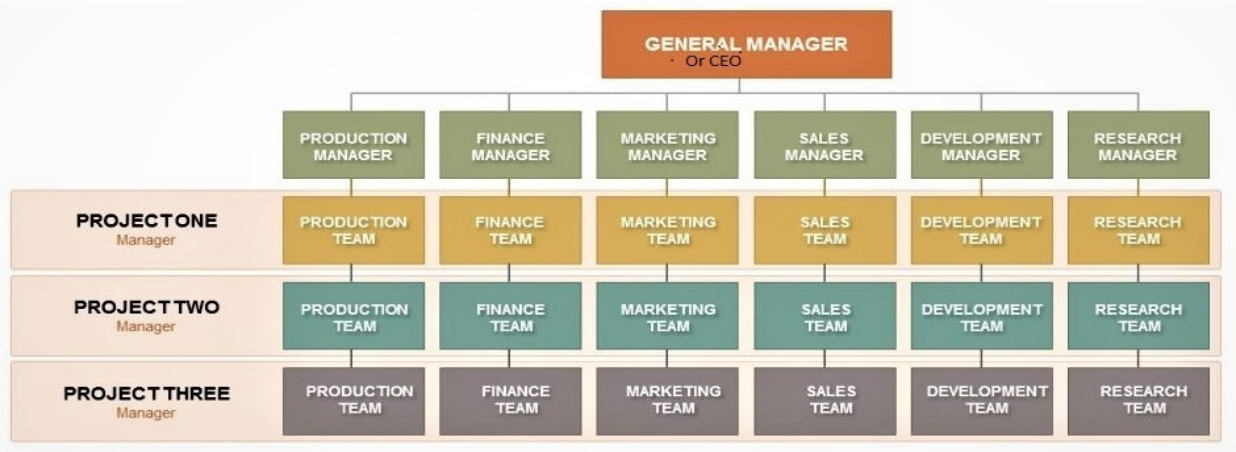
1. It allows close communication with local customers.
2. It enables the organization to respond the customers with different characteristics in the various regions.
3. Strong collaborative teams working at each location bring organizational effectiveness.

Disadvantages of geographical structure

1. Requires more staffs.
2. There is possibility of duplication of jobs, resources and functions.
3. It is difficult to maintain the original culture of the head office.

Matrix structure

The matrix organizational structure is a combination of two or more different kinds of organizational structures, such as project management or functional management. In matrix organization, employees usually work under more than one boss. The first boss will be their functional manager and the other can be a project manager. It is mostly used in construction, health care, research, and defense. It facilitates the use of specialized personnel, equipment, and facilities.



Advantages of matrix structure

1. The decision process works faster.
2. Enhances motivational skills, creativity and team work.
3. The moral of an employee is high as he is simultaneously working on different projects.
4. Helps to achieve efficiency and effectiveness of the entire organization.

Disadvantages of matrix structure

1. Accountability becomes difficult because of shared responsibility.
2. There is a confusion about the primary role and responsibility of an employee.
3. As more managers are employed the matrix organization is more expensive than the traditional one.
4. Violation of unity of command.

✓ *Authority: line authority and staff authority*

Line authority:

Line authority is a top-down approach to management where the decisions are made by the top management and communicated to the lower-level staff in a hierarchy. It is a common characteristic of the hierarchical organizational structure. This authority is given so that an organization can attain its stated goals and objectives. Examples of managers within a business who have line authority are the production manager, marketing manager and sales manager. Line managers are responsible for directing, motivating and supervising employees towards achieving organizational goals.

Staff authority:

Staff authority gives the manager the right (authority) to advise other managers or employees. It creates an advisory relationship. An advisory authority in which a person studies a situation and makes recommendations but has no authority to take action. Line managers get advice and other services from this authority. As an example of staff authority, the cost accountant advises the sales manager on which products have the highest margins, and so are the most valuable products to sell.

Difference between Line Authority and Staff Authority

Line authority	Bases	Staff authority
Line authority is the type of authority	Meaning	Staff authority refers to the right to

that reflects superior-subordinate relationships characterized by the power of decision making.		advice on improving the effectiveness for line employees in performing their duties.
Line managers are responsible for directing, motivating and supervising employees towards achieving organizational goals.	Main Responsibility	Main responsibility of line staff is to provide expert advice and support to line staff to allow smooth flow of operations.
Level of specialization is low in line authority.	Specialization	High specialization is seen in staff authority.
Line authority is mostly suitable for small and medium scale organizations.	Adaptation to Environment	Staff authority can bring wider benefits for large-scale organizations.

✓ ***Delegation of authority.***

Delegation of Authority means sharing of work and authority. It is a process of assigning work to the subordinates by superiors and allowing them to take critical decisions to some extent by giving authority. The purpose of delegating authority is to ensure a productive and well-functioning workplace.

Importance of Delegation of Authority:

The importance of delegation of authority are as follows:

1. **Increases productivity**

   Delegation helps employees finish tasks faster because the work is distributed among a group of individuals and everyone is responsible for their respective targets.

2. **Personal development**

   When you delegate tasks, your team members get a chance to showcase their skills and expertise in a particular area. With proper guidance, they can also improve their knowledge and skill sets.

3. **Continuity**

   If you’re busy or absent from work, your team can help complete some of your work and ensure continuity and productivity.

4. **Employee motivation**

   When you assign new responsibilities, it shows that you trust your employees to take control. They’re encouraged and driven to fully utilize their potential.

5. **Career growth**

The more you delegate tasks to different members of your team, the more they understand business goals and objectives. This gives way to potential promotion within the organization.

✓ *Centralization, decentralization: Meaning, reasons, advantages, disadvantages.*

Meaning of Centralization

Centralization, means the concentration of powers, authority and control, at the head or center of the organization. So, the location of powers as to planning, decision making, formulation of policies, etc. lies in the hands of top-level management, which consists of a few executives who regulate the organization. In a centralized organization, there is only one focus of control, and so, the powers are concentrated and retained by the group of people or by a particular authority, while the rest of the members receive orders, and work as per the directions.

Advantages of Centralization

- **Clear Chain of Command**:
  As there is a unity of command, centralization tends to improve coordination in the organization.
- **Consistency in Decision Making**:
  Due to the concentration of power at the apex level, it ensures consistency in the decisions, taken at different points in time, to meet the organization's objectives.
- **Optimum utilization of resources**:
  Centralization facilitates effective utilization of organizational talent and resources, which helps in developing the corporate personality.
- **Uniformity in procedures and policies**:
  There is a uniformity in the work processes, which are performed as per the same policies and procedures.
- **Better control over operations**:
  With centralization, maximum control over the organization as well as its operations is possible.

Disadvantages of Centralization

- **Delay in implementation of actions**:
  As the workers have to refer to the top-level management of the organization for every action which increases dependability and also delays the implementation of actions.
- **Autocratic control**:
  Centralization of the activities results in autocratic (absolute) control over the subordinates, which reduces the flexibility in work.
- **Increases irresponsiveness**:
  The decisions are taken by the top management, but at the same time they are not completely aware of the local conditions and requirements, which results in irresponsiveness.
- **Lack of employee's participation**:
  Due to the concentration of the powers in the hands of a few people, employees do not get the opportunity to act on their own, and so there is lack of employee's participation.

Meaning of Decentralization

Decentralization means the dispersion of functions and powers from the central authority or the top management to regional and local authorities or the middle and lower levels of management in an organisation. In the decentralization, the duty of daily operations and minor decision-making capabilities are transferred to the middle and lower levels which allow top-level management to focus more on major decisions like business expansion, diversification etc.

Advantages of Decentralization

The following are the advantages of decentralized setup of an organization:

- **Reduces the Burden of Top Executives:**

  It frees the top managers from the burden of taking too many operating decisions. This enables specialization and also permits the top managers to think for the future and make plans accordingly.
- **Improvement of morale:**
  Decentralization helps improvement of managerial ability which leads to an increase in their morale and this results in a higher productivity.
- **Secrecy maintained:**
  Comparatively here in such a sets up secrecy can easily and effectively be maintained without much cost and unnecessary trouble.
- **Utilization of available talents:** The talents available can be best utilized in decentralized setup as everyone is given an opportunity to prove his worth.
- **Quick decisions:** For decision one is not required to reach on the top. Just one can take decision whenever one has to take without wasting time and energy.

Disadvantages of Decentralization

The following are the disadvantages of decentralized setup of an organization:

- **Suitability issues:**
  In cases where the training, experience, education etc. of the employees are inadequate, decentralization of authority would be harmful for the enterprise.
- **Not suitable for small enterprises:**
  Decentralization is not suitable for small enterprises because it would be easier and more economical to administer the enterprise on a centralized basis.
- **Lack of uniformity:**
  There might be lack of uniformity and inconsistent procedures as each department might have the authority to formulate its own policies and procedures.
- **Coordination Problems:**
  As each department / division enjoys substantial autonomy it might lead to coordination problems.

✓ *Staffing: concept and importance*

Staffing: concept

Once the organisational goals are set, the plans are prepared and organisation is appropriately structured to pave the path for achievement of the set goals. The next step is to provide appropriate personnel to fill in the various positions created by the organisational structure. The

process putting people to jobs is termed as staffing. Staffing is a managerial function which involves obtaining, utilizing and retaining, qualified and competent personnel to fill all positions of an organisation. Staffing can be defined as the process of identifying, assessing, placing, developing, and evaluating eligible candidates in the organization or company for specific positions.

Staffing: Importance

- It helps in the finding out efficient and effective workforce, to fill different posts in the organisation.
- It improves organization's performance and productivity by appointing the right person at the right job.
- It facilitates in identifying the staffing requirements of the organisation in future.
- It ensures continuous survival and growth of the organisation, by way of succession planning for executives.
- It develops personnel to take up top managerial positions of the organisation.
- It ensures training and development of the people working in the organisation.
- It assists the organisation in making the optimum use of human resources.